

returned more like 8%, but I'm being conservative). By the time you turn 65, you'll have \$126,840. But if you don't start saving until you're 35, you'll have only \$69,760. Starting just ten years earlier would have almost *doubled* your total. Yes, doubled.

Okay, so now you might be asking about all those people who lost money in their 401(k)s. Yes, that's the reality of the times. Nobody can tell what will happen with the market. But what you do know is that the tax break and the free money match from your employer (if you get one) are great deals. And because of this, even in the worst economy, 401(k)s—or, if that's not available to you, IRAs (individual retirement accounts)—are an offer you can't refuse. Details on how to approach your retirement savings appear later in this chapter.

Now that I've gotten your attention, there's one big-picture point you should know. Saving for retirement is more pressing today than ever before. That's because the Social Security Administration currently predicts that by the year 2017 it will be paying more than it collects, and unless Congress finds the money for an overhaul by about 2041, there won't be enough money in the fund to pay out full benefits. While Social Security will probably be around in some form when you retire, it will almost certainly provide less support for you than it has for your grandparents.

This chapter will teach you everything you need to know about retirement accounts. It will demystify the ins and outs of your options and answer the questions that may have been getting in your way. So go forth and save—there's no excuse not to.

WILL SOCIAL SECURITY BE THERE FOR YOU?

One reason Social Security has generated so much attention in the past is that investment companies stood to gain huge fortunes if they had control of the money. While it's true the system has some problems, letting Wall Street take over isn't the answer—a point that has become painfully obvious in recent years.

Social Security was built on the idea that there would always be more workers paying into the system than older people taking money out. Enter the Baby Boom, a group that is now beginning to